

NAME:
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First Solution:
Second Solution:

1. Suppose that the price of a one-year European call option with a strike price of \$100 is \$15, and the price of a one-year European put option with the same strike price is \$10. The one-year discount factor is 80%. Suppose that the one-year forward price in the market is \$105,25. How much is the arbitrage profit future value (FV) in this case?

- a) \$0,8
- b) \$1
- c) \$1,25
- d) \$2

2. Suppose that one-year put options on a stock with strike prices \$30 and \$35 cost \$4 and \$7, respectively. The one-year discount factor is 100,00%. A trader take positions on these options to creat long bull spread. At which stock prices will the bull spread be profitable?

- a) If the spot price at the end of the year is under \$30
- b) If the spot price at the end of the year is under \$32
- c) If the spot price at the end of the year is over \$32
- d) If the spot price at the end of the year is between \$32 and \$35